

Key Findings & Recommendations

What the data says and what Olist should do next · Jan 2017 – Aug 2018

Olist Brazilian E-Commerce dataset (Kaggle) · 99,092 orders



Just 6.8% of orders arrive late, yet they generate 30% of all 1-star reviews.

Late orders average 2.27 stars against 4.29 for on-time orders, and more than half of them (54%) receive a single star. Fixing late delivery is the biggest lever for customer satisfaction.

THE PROBLEM



54%

of late orders get a 1-star review

Compared with just 7% of on-time orders. Ratings fall from 4.3 stars when early to 1.7 stars when an order is 8+ days late.

See: Overview, Delivery

THE CAUSE



27.9 days

in carrier transit for late orders

Versus 7.9 days for on-time orders. Slow sellers add to it: orders shipped within a day are 4.0% late, after 8+ days 22.2%.

See: Delivery, Sellers

WHERE IT HITS



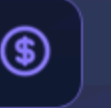
12.8%

late rate in the Northeast

Twice the Southeast's 6.1%. Transit takes 16.6 days vs 7.5, and AL gets a 9-day buffer vs 20 in AM. Salvador is the worst big city at 14.6%.

See: Delivery, Customers

WHAT IT COSTS



-18%

repeat rate after a late first order

Only 2.8% come back after a late first order, vs 3.4% after an on-time one. Late orders carried R\$1.15M in revenue.

See: Customers

WHAT OLIST SHOULD DO

01

Fix the carrier leg

Renegotiate carrier SLAs and add regional delivery partners in the Northeast, where transit takes more than twice as long.

02

Set honest estimates by state

Widen the delivery buffer for AL, MA and SE, and trim over-cautious estimates elsewhere to stay competitive.

03

Coach the 38 high-risk sellers

They handle 2.9% of orders but cause 8.0% of late deliveries. Enforce a 2-day handling target with alerts.

04

Protect the first order

Alert customers early when a first order is delayed and add a goodwill voucher to win back repeat business.



Overview



Delivery



Sellers



Customers



Summary



Overview

Delivery

Sellers

Customers

Summary

Olist Delivery Performance

How late deliveries drive customer dissatisfaction · Jan 2017 – Aug 2018

State
All

Month
All

Total Orders

99K

Jan 2017 – Aug 2018



Total Revenue

R\$15.9M

Jan 2017 – Aug 2018



Late Delivery %

6.8%

Jan 2017 – Aug 2018



Avg Review Score

4.09

Jan 2017 – Aug 2018



Late Order Revenue

R\$1.2M

Jan 2017 – Aug 2018



Late deliveries vs. review score by month



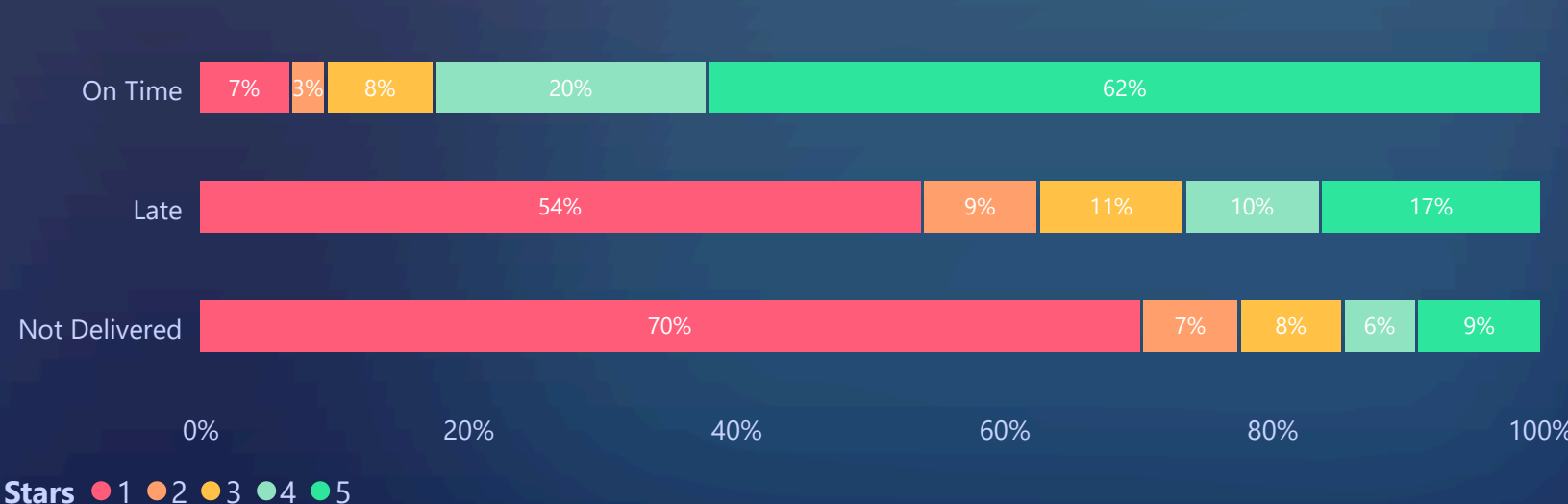
Review score by delivery status



Late delivery % by customer state



How customers rate: on-time vs late



Delivery Deep Dive

Where the delays happen: promised vs actual delivery times · Jan 2017 – Aug 2018

State

All

Month

All

Avg Delivery Days

12.1



Avg Promised Days

24.3



Avg Days Late

10.6



On-Time Delivery %

93.2%

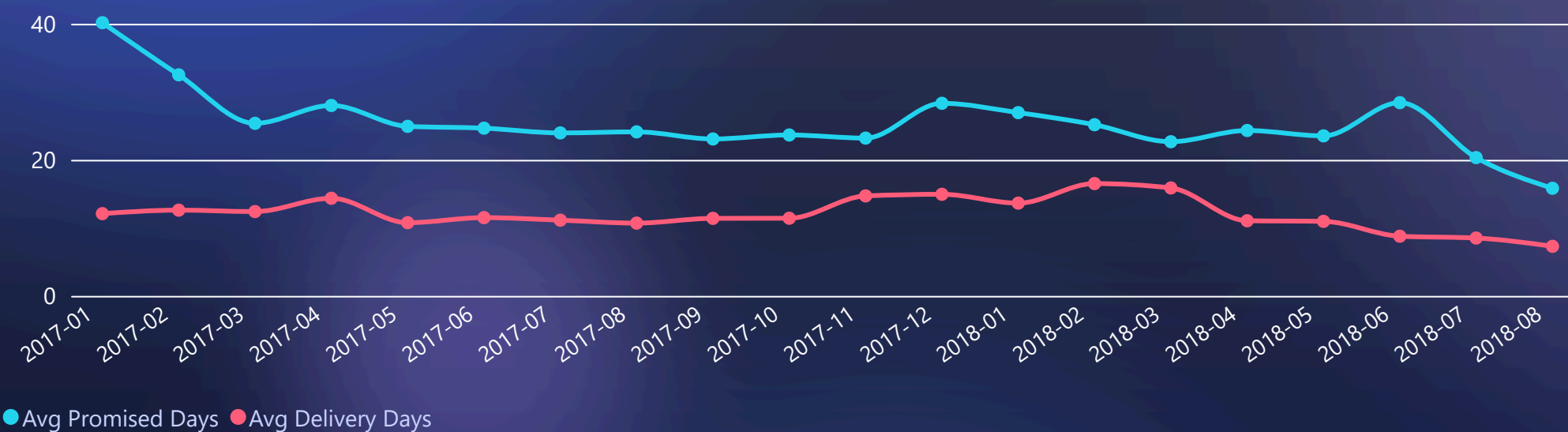


Seller Handling Days

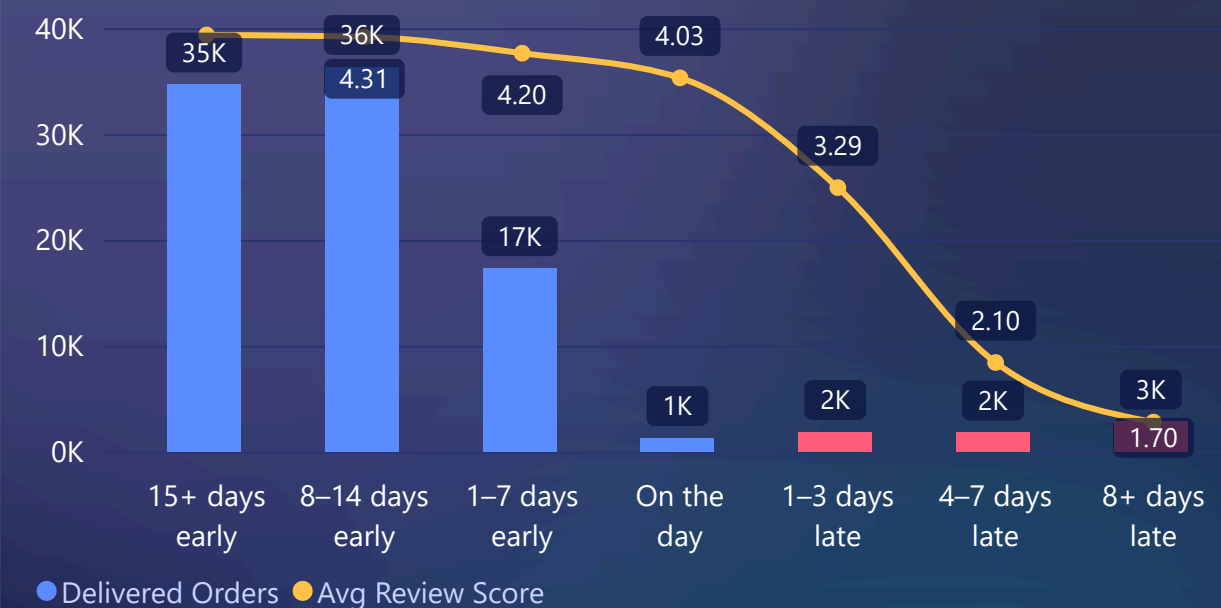
3.2



Promised vs actual delivery days by month



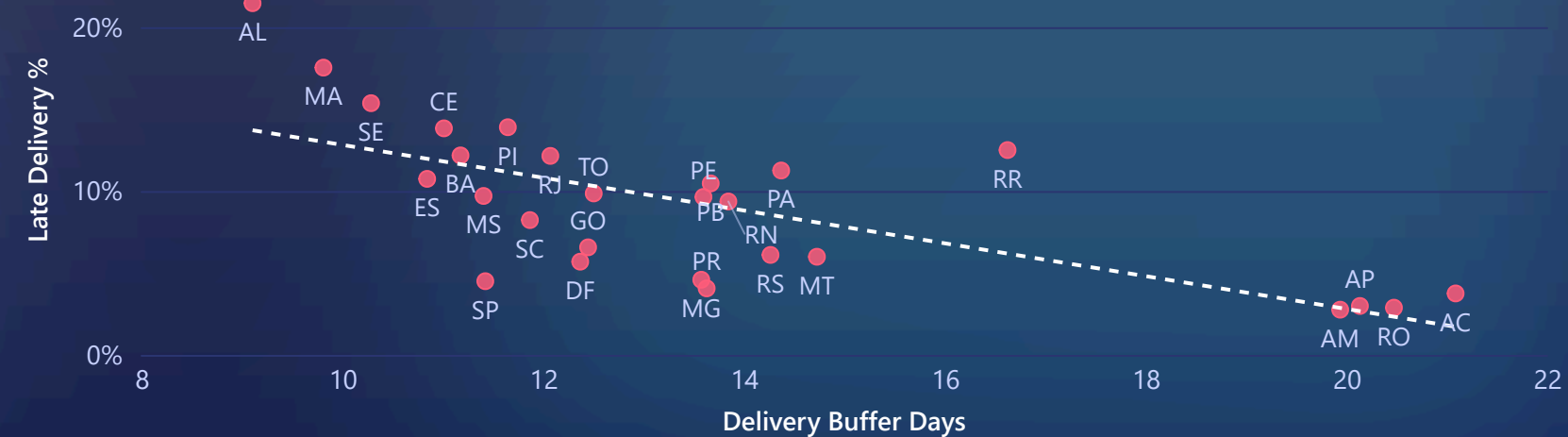
Review score drops fast once late



Where late orders lose time



Thin buffers mean more late deliveries



Seller Performance

Which sellers and categories cause late deliveries · Jan 2017 – Aug 2018

State

All

Month

All

Active Sellers Label

3,068



Late %

6.8%



High-Risk Sellers

38

8.0% of all late orders



Items Sold

112.3K



Review Score

4.09



Slow shippers cause late deliveries



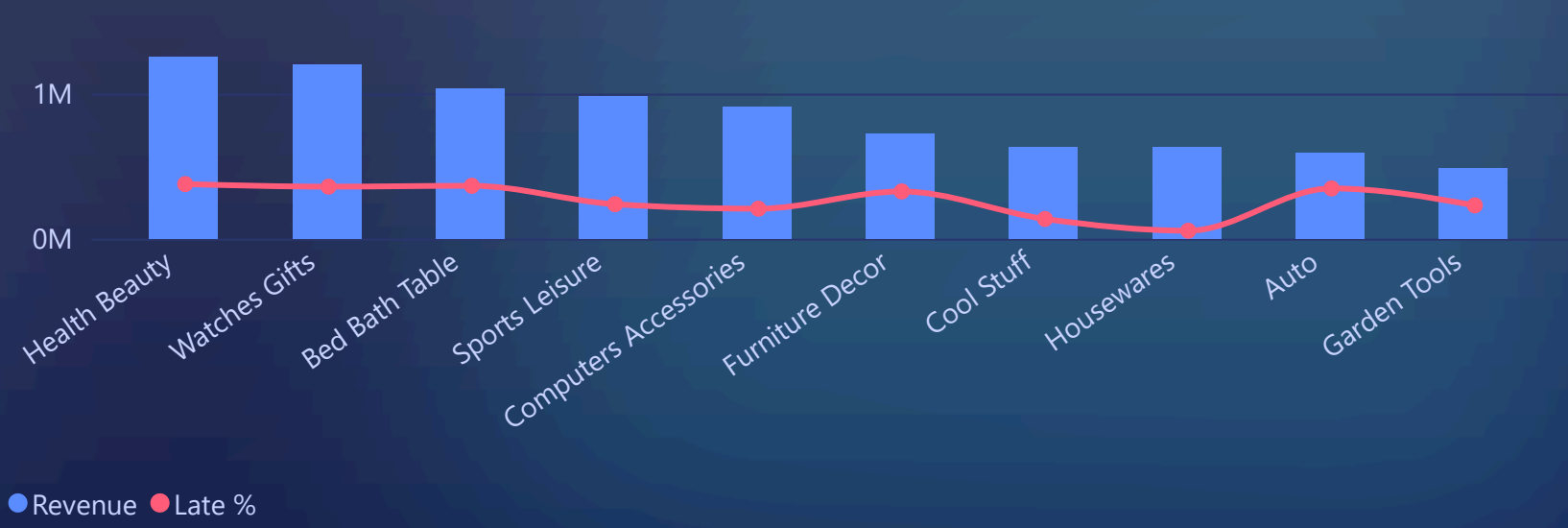
Top sellers by revenue

Seller	City	State	Orders	Revenue	Late %	Review Score
S-4869F7	Guariba	SP	1132	229,472.63	10.5%	4.13
S-532435	Lauro De Freitas	BA	358	222,776.05	3.4%	4.13
S-4A3CA9	Ibitinga	SP	1806	200,472.92	9.7%	3.83
S-FA1C13	Sumare	SP	585	194,042.03	9.2%	4.34
S-7C67E1	Itaquaquecetuba	SP	982	187,923.89	9.1%	3.49
S-7E93A4	Barueri	SP	335	175,032.87	4.7%	4.21
S-DA8622	Piracicaba	SP	1314	160,236.57	6.6%	4.18
S-7A67C8	Sao Paulo	SP	1160	141,745.53	5.2%	4.24
S-1025F0	Sao Paulo	SP	915	138,968.55	7.9%	3.99
S-055555	Sao Paulo	SP	1007	105,151.53	6.1%	4.10

38 high-risk sellers stand out



Late rates barely differ across top categories



Customer Experience

Who is affected and what it costs in loyalty · Jan 2017 – Aug 2018

State

All

Month

All

Unique Customers Label

95,774



Repeat Customer %

3.1%

After a late first order: 2.8%



Avg Order Value

R\$160.91



Avg Freight per Order

R\$22.65

16.6% of item price



1-Star Review %

11.5%



Overview



Delivery



Sellers

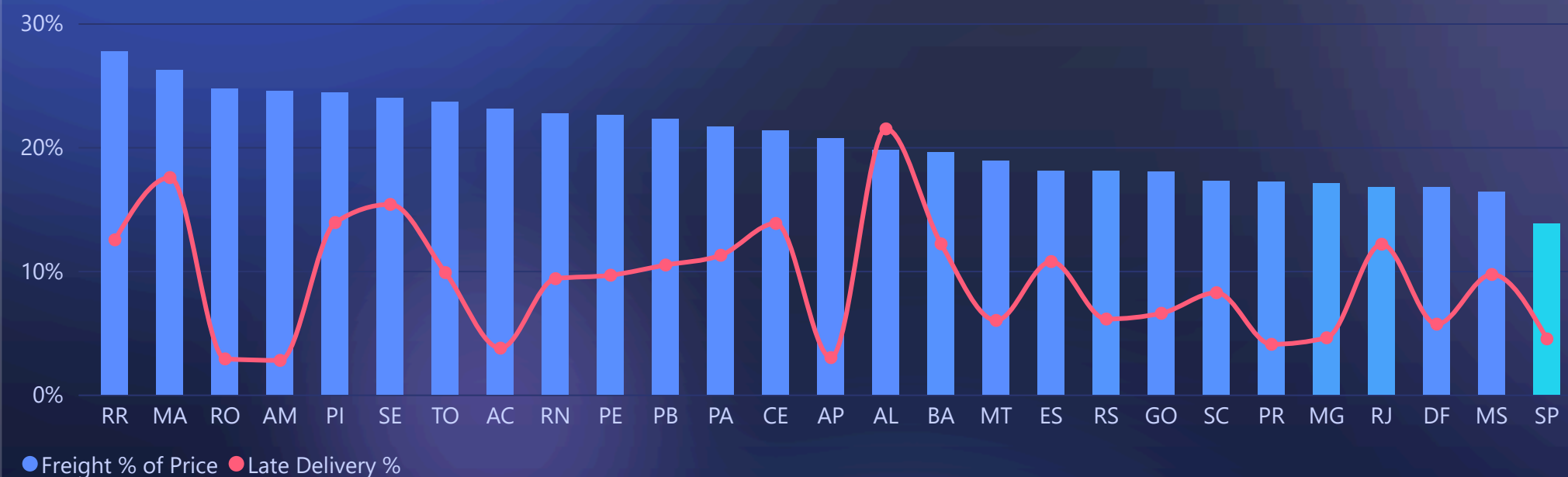


Customers

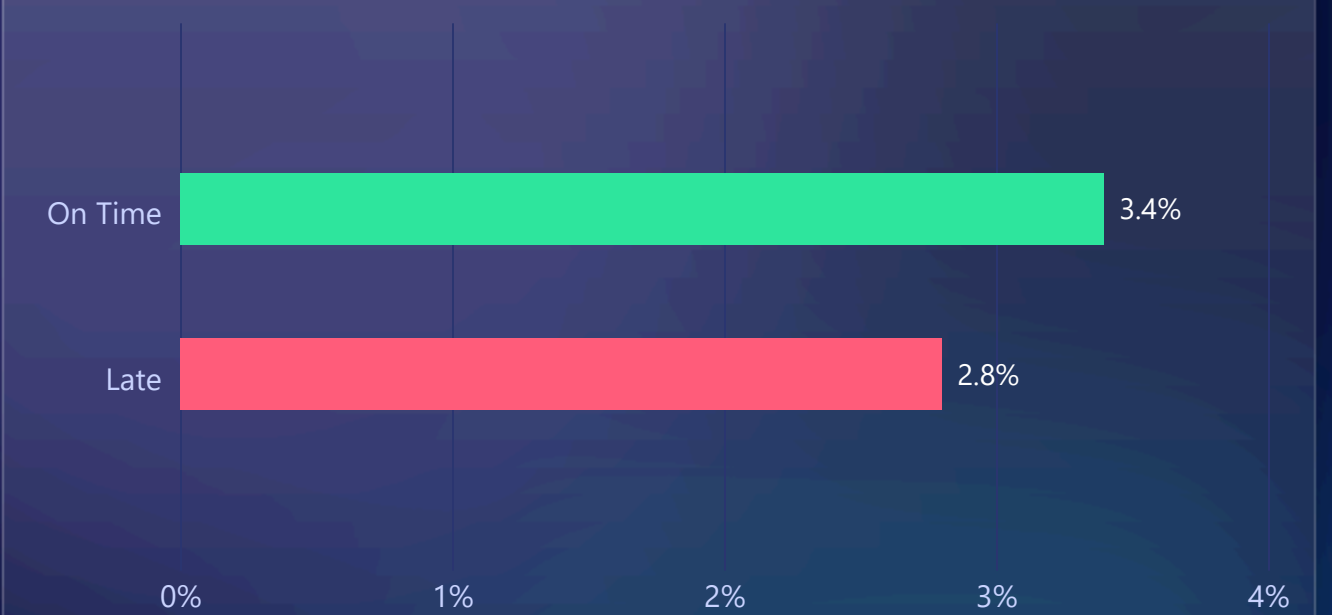


Summary

North and Northeast pay the most freight



A late first order means fewer repeat customers



Small orders pay nearly 50% in freight



Salvador and Rio suffer most among big cities

